APL-2016-00115

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To be Argued by:

MARC E. KASOWITZ

(Time Requested: 30 Minutes)

Court of Appeals of the State of New York

THE PEOPLE OF THE STATE OF NEW YORK BY ERIC T. SCHNEIDERMAN, ATTORNEY GENERAL OF THE STATE OF NEW YORK,

Petitioner-Respondent,

– against –

THE TRUMP ENTREPRENEUR INITIATIVE LLC F/K/A TRUMP UNIVERSITY LLC, DJT ENTREPRENEUR MEMBER LLC F/K/A DJT UNIVERSITY MEMBER LLC, DJT ENTREPRENEUR MANAGING MEMBER LLC F/K/A DJT UNIVERSITY MANAGING MEMBER LLC, THE TRUMP ORGANIZATION, INC., TRUMP ORGANIZATION LLC, DONALD J. TRUMP AND MICHAEL SEXTON,

Respondents-Appellants.

BRIEF FOR RESPONDENTS-APPELLANTS

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Date Completed: October 20, 2016

DISCLOSURE STATEMENT PURSUANT TO SECTION 500.1(F) OF THE RULES OF THE COURT OF APPEALS

Pursuant to Section 500.1(f) of the Rules of Practice for this Court, the undersigned counsel for Respondents-Appellants states as follows:

1. The Trump Entrepreneur Initiative LLC f/k/a Trump University LLC is owned by DJT Entrepreneur Member LLC f/k/a DJT University Member LLC, and DJT Entrepreneur Managing Member LLC f/k/a DJT University Managing Member LLC.
2. DJT Entrepreneur Member LLC f/k/a DJT University Member LLC, DJT Entrepreneur Managing Member LLC f/k/a DJT University Managing Member LLC, The Trump Organization, Inc. and Trump Organization LLC are each wholly owned by Donald J. Trump.

STATEMENT OF RELATED LITIGATION

None. (Placeholder: not shown in the filed exemplar; see the note in the frontmatter comment above.)

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PRELIMINARY STATEMENT

This appeal arises from a case filed by the AG purporting to challenge TEI's business practices more than three years after TEI ceased doing business in marketing educational services and more than two years after the AG commenced his politically-motivated investigation.

The Supreme Court dismissed two of the AG's six claims in their entirety and, based on the three-year statute of limitations in CPLR § 214(2) (applicable to liabilities created by statute), limited three of his claims to the period beginning on May 31, 2010. The AG did not appeal from these holdings, which are not at issue here.

At issue on this appeal is the AG's first claim, a purported fraud claim asserted under Executive Law § 63(12), which authorizes the AG to seek injunctive and other relief in cases involving "repeated" or "persistent" fraud or illegality. *Id.* The Supreme Court dismissed the claim on the ground that § 63(12) did not create a new, standalone cause of action but only expanded the remedies the AG may seek for pre-existing causes of actions. Accordingly, the court held that the AG, to obtain § 63(12) relief, must plead and prove all of the elements of a common law fraud claim, including scienter and individual justifiable reliance for each TEI customer, and invited the AG to amend his petition to assert such a claim. The AG declined that invitation and appealed to the Appellate Division.

The Appellate Division reversed, holding that § 63(12) does authorize its own statutory standalone fraud claim, that the AG need not plead or prove scienter or reliance, and that the applicable statute of limitations period is six years under the catch-all provision in CPLR § 213(1), which applies to common law fraud.

The Appellate Division's decision should be reversed. Its holding that § 63(12) authorizes a standalone fraud claim is, as shown below, contrary to controlling decisions of this Court, as well as to decisions in the Appellate Division itself. Moreover, even if § 63(12) did authorize its own standalone fraud claim separate and apart from a common law fraud claim (and it does not), such a standalone claim would be subject to the CPLR § 214(2) three-year limitations period because it would necessarily be a claim created by statute. Indeed, the Appellate Division (and the AG) cannot have it both ways. It cannot be the case that, as the Appellate Division held, the AG may assert a § 63(12) fraud claim for which he need not plead and prove all of the common law fraud elements, including scienter and reliance, and yet also have the benefit of the six-year common law fraud limitations period, rather than the three-year period for claims created by statute. Conversely, if the AG is to have the benefit of a six-year limitations period, then, as the Supreme Court held, he must plead and prove all of the elements of a common law fraud claim, which he had the opportunity but declined to do.

In holding that § 63(12) creates a standalone claim, the Appellate Division failed to follow this Court's controlling decision in *State of New York v Cortelle*, 38 NY2d 83 [1975], on the purported ground that *Cortelle* merely addressed the applicability of

CPLR § 214(2)'s statute of limitations to § 63(12) claims and did not hold that § 63(12) does not create a standalone cause of action. That is not so. To the contrary, the very basis for this Court's holding in *Cortelle* that a § 63(12) claim is not subject to the three-year CPLR § 214(2) period was that § 63(12) does not create a standalone claim. As the Court stated, § 63(12) itself does not make "unlawful the alleged fraudulent practices, but only provide[s] standing in the Attorney-General to seek redress and additional remedies for recognized wrongs which pre-existed the statutes." *Cortelle*, 38 NY2d at 85. The Appellate Division also failed to follow its own decision in *People v Charles Schwab & Co., Inc.*, 109 AD3d 445, 449 [1st Dept 2013]. In *Schwab*, as here, the AG asserted an independent § 63(12) claim untethered to any underlying claim or violation. *Schwab*, 109 AD3d at 449.

QUESTIONS PRESENTED

1. Does Executive Law § 63(12) create a standalone fraud cause of action?

The Appellate Division incorrectly answered this question in the affirmative.

2. Does the six-year statute of limitations applicable to common law fraud under CPLR § 213(1) govern the AG's § 63(12) claim, even though the AG has not alleged all of the elements of common law fraud, such as scienter and reliance?

The Appellate Division incorrectly answered this question in the affirmative.

3. Can a claim under § 63(12) be established without proof of scienter and reliance even though such claim seeks the benefit of a six-year statute of limitations applicable to common law fraud under CPLR § 213(1)?

The Appellate Division incorrectly answered this question in the affirmative.

STATEMENT OF JURISDICTION

On May 17, 2016, the Appellate Division granted Appellants' motion for leave to appeal to the Court of Appeals from the Decision. (A. 592.)[1]

STATEMENT OF THE CASE

I. FACTUAL BACKGROUND

A. The Creation And Operation Of TEI

In 2004, Appellant Michael Sexton approached Appellant Donald Trump about developing a company that would primarily use technology to provide an instructional curriculum across a broad range of business subjects, such as marketing, finance, entrepreneurship and real estate, under the "Trump" name and brand. (A. 356.)

On October 25, 2004, TEI, a New York limited liability company, was formed with the New York Department of State, Division of Corporations ("Division"), with the stated purpose of providing "education-related and educational products and

[1] Citations to the record on appeal are to "A. __" and citations to the addendum are to "Add. __."

services to individuals and businesses." The Division approved the filing using the word "University" without objection. (A. 356.)

From 2004 to 2010, TEI was a small, private company which offered quality instruction and training. At no time did TEI hold itself out as having been approved by the State of New York, licensed by the New York State Education Department ("SED"), accredited by the Board of Regents, or approved to issue diplomas. TEI explicitly stated in the "frequently-asked-questions" section of its website that "Trump University does not offer credits or degrees." (A. 356-57, A. 715, A. 722.)

ARGUMENT

I. THE APPELLATE DIVISION ERRED IN HOLDING THAT § 63(12) CREATES A STANDALONE CAUSE OF ACTION

The Appellate Division erred in holding that § 63(12) allows for the AG to bring a standalone claim – a holding contrary to this Court's binding decision in *Cortelle*. (Decision at 35-38 (A. 611-14).) The Appellate Division claimed that this Court in *Cortelle* did not hold that § 63(12) does not create a standalone cause of action because *Cortelle* merely addressed the applicability of CPLR § 214(2)'s statute of limitations to a § 63(12) claim. (Decision at 35 (A. 611).) However, as discussed below, *Cortelle* specifically and necessarily interpreted § 63(12) in reaching its decision, and that decision therefore is controlling authority as to the proper interpretation of § 63(12).

A. The Appellate Division Failed To Follow Controlling Precedent That Recognizes § 63(12) Does Not Create A Standalone Cause Of Action

In *Cortelle*, this Court held that § 63(12) does not create a standalone claim. Section 63(12) states in relevant part:

> Whenever any person shall engage in repeated fraudulent or illegal acts or otherwise demonstrate persistent fraud or illegality in the carrying on, conducting or transaction of business, the attorney-general may apply ... for an order enjoining the continuance of such business activity or of any fraudulent or illegal acts, directing restitution ....
>
> Exec. Law § 63(12).

In *Cortelle*, the Attorney General brought an action asserting, among others, a claim under § 63(12), to enjoin allegedly fraudulent practices and to obtain redress for the defrauded persons. *Cortelle*, 38 NY2d at 86. The *Cortelle* court addressed whether the § 63(12) claim sought to recover upon, in the words of CPLR § 214(2), a "liability, penalty or forfeiture created or imposed by statute" and therefore was subject to the three-year statute of limitations under CPLR § 214(2). *Id. Cortelle* recognized that § 63(12) itself does not make "unlawful the alleged fraudulent practices, but only provide[s] standing in the Attorney-General to seek redress and additional remedies for recognized wrongs which pre-existed the statutes," *Cortelle*, 38 NY2d at 85, and that "[s]tatutory provisions which provide only additional remedies or standing do not create or impose new obligations." *Id.* Accordingly, the court held § 63(12) did not create a standalone claim subject to CPLR § 214(2)'s three-year statute of limitations.

Under *Cortelle*, therefore, and as the Supreme Court correctly held, because the AG's first cause of action under § 63(12) here is not tethered to any statutory or common law violation (the AG having declined to amend to assert common law fraud) and § 63(12) forecloses a standalone claim, the Decision must be reversed and the § 63(12) claim must be dismissed. *Cortelle*, 38 NY2d at 85-86.[2]

[2] The record in *Schwab* shows that the AG did raise the standalone issue in its motion to reargue. See the AG's Memorandum of Law in Support of Motion to Reargue, *People v Charles Schwab & Co., Inc.* (Add. 54-72); Reply Memorandum of Law in Support of Motion to Reargue. (Add. 73-88.) The *Schwab* Court denied the reargument motion and adhered to its holding that § 63(12) does not create a standalone claim. *People v Charles Schwab & Co., Inc.*, 2013 NY Slip Op 95413[U] [1st Dept 2013].

CONCLUSION

For the foregoing reasons, the Decision should be reversed.

Dated: New York, New York

October 21, 2016

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CERTIFICATE OF COMPLIANCE

I hereby certify pursuant to 22 NYCRR 500.1(j) that the foregoing brief was prepared on a computer using Microsoft Word.

A proportionally spaced typeface was used, as follows:

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Dated: New York, New York

October 21, 2016

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AFFIDAVIT OF SERVICE

STATE OF NEW YORK)

) ss.:

COUNTY OF _____)

_____, being duly sworn, deposes and says:

deponent is not a party to this action, is over 18 years of age, and resides at

_____.

On the _____ day of _____, 20____, deponent served the within brief upon each attorney for each party to this appeal, at the address designated by that attorney for that purpose, by _____, and by

_____.

_____

Sworn to before me this

_____ day of _____, 20____

_____

Notary Public